PMC

PHILSAGA MINING CORPORATION

2017

Annual Social Development and Management Program

PHILSAGA MINING CORPORATION

Head Office:
C.P. Garcia Highway
Sasa, Catitipan, Davao City 8000
Email add: pmc@philsaga.com
Tel. No.: +63 82 2350045 to 47

Millsite Office:
Bayugan 3, Rosario, Agusan del Sur 8504
Email add: admin_agusan@philsaga.com
Tel. No.: +63 82 2350045 to 47, extension 3000

DENR-MGB-R.XIII
SURIGAO CITY
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DATE: NOV 29 2016
BY: TIME: 2:11 pm

November 28, 2016

ENGR. ROGER A. DE DIOS
Regional Director
Mines and Geosciences Bureau
Regional Office No. XIII
Km. 2, National Highway, Surigao City

Dear Director De Dios:

Respectfully submitting herewith the Company's Annual Social Development & Management Program (ASDMP) 2017 duly endorsed by the Representative of the Host and Neighboring Communities within the Province of Agusan del Sur.

Majority of the identified programs/projects/activities were culled out from the 5 year plan to suit the existing felt need of the community.

Hope you will find this in order.

Truly yours,

PHILSAGA MINING CORPORATION

By:

ENGR. FERDINAND A. CORTES
Resident Manager

ACKNOWLEDGEMENT

Philsaga Mining Corporation continues to commit its operation to the development of the host and neighboring communities through the Social Development and Management Program. The Annual SDMP for 2017 cannot be made possible without the valuable support from **Mines and Geosciences Bureau (MGB) – XIII** specifically the ICE-CD section.

The Community Relations Department organized a planning workshop with the Community Technical Working Group, government line agencies, MGB and community stakeholders last October 26-27, 2016. The different development players identified and prioritized programs, projects and activities for the 3rd phase 5 year SDMP of PMC. In the same workshop, PPAs proposed to be implemented for 2017 were culled out.

The company is indebted most to the host communities particularly to the members of the **Community Technical Working Group (CTWG)** who sacrificed their precious time collaborating with the ComRel Team in shaping this program. Their unending support forms part to the community development & relations efforts of the company.

Our heartfelt thanks to the management of PMC particularly to the **President, Atty. Raul Villanueva** and our **Resident Mine Manager, Engr. Ferdinand Cortes**, who have been consistently supporting and demonstrating deep commitment towards the social responsibility of the company to the partner communities.

PMC-ComRel Department

ABBREVIATIONS AND ACRONYMS

AM	-	Amplitude Modulated
BC	-	Barangay Council
BDC	-	Barangay Development Council
BDP	-	Barangay Development Plan
BHW	-	Barangay Health Worker/s
BLGU	-	Barangay Local Government Unit
BNS	-	Barangay Nutrition Scholar
CC	-	Community Coordinator
CTWG	-	Community Technical Working Group
CY	-	Calendar Year
DAO	-	DENR Administrative Order
DENR	-	Department of Environment and Natural Resources
DepEd	-	Department of Education
DHNC	-	Development of the Host and Neighboring Communities
DMTG	-	Development of Mining Technology and Geosciences
DOH	-	Department of Health
DOLE	-	Department of Labor and Employment
DSWD	-	Department of Social Welfare and Development
ECC	-	Environmental Compliance Certificate
EIS	-	Environmental Impact Statement
GLA	-	Government Line Agencies
HELPS	-	Health, Education, Livelihood, Public Utilities and Socio-cultural
HH	-	Household
ICE	-	Information, Communication & Education
ICE/CD	-	Information, Communication & Education/Community Dev't.
KII	-	Key Informant Interview
LGO	-	Low Grade Ore
LGU	-	Local Government Unit
LSEP	-	Local Socio-Economic Profile
MAO	-	Municipal Agriculture Office

MEPEO	-	Mine Environmental Protection & Enhancement Officer
MESD	-	Mine Environment & Social Development
MGB	-	Mines and Geosciences Bureau
MHO	-	Municipal Health Office
MPDO	-	Municipal Planning and Development Office
MPSA	-	Mineral Production & Sharing Agreement
MRFC	-	Mine Rehabilitation Fund Committee
MSWDO	-	Municipal Social Welfare and Development Office
NGO	-	Non-Government Organization
NSCB	-	National Statistical Coordination Board
OC	-	Operating Cost
OFW	-	Overseas Filipino Worker
PMC	-	Philsaga Mining Corporation
PNP	-	Philippine National Police
PO	-	People's Organization
PPAEMTG	-	Promotion of Public Awareness and Education on Mining Technology and Geosciences
PPAs	-	Program Projects and Activities
PRA	-	Participatory Rapid Appraisal
PTB	-	Pulmonary Tuberculosis
RA	-	Republic Act
RHNC	-	Representative of the Host and Neighboring Communities
RMM	-	Resident Mine Manager
SDMP	-	Social Development & Management Program
SIA	-	Social Impact Assessment
SY	-	School Year
TESDA	-	Technical Education & Skills Development Authority

1.0 CORPORATE DATA

1.1 Company and Project Name

Philsaga Mining Corporation (PMC) was incorporated in the Philippines on May 17, 2001 to carry on the business of protecting, exploration, mining and processing all kinds of mineral ore located within the Philippines. It presently operates the Co-O Gold Project which is previously operated by Banahaw Mining Corporation.

The company has offered social services to its host and neighboring communities and spent significant amount for the implementation of programs not excluding its obligations to government dues. With the active operation of the company up to present, various infrastructure projects have been implemented including school buildings, hospital, roads and other community infrastructure initiatives.

Further, reforestation activities have been employed as part of its progressive rehabilitation activities.

Table 1. *Company Name and Address*

Proponent Name	**Philsaga Mining Corporation**
Address	**Head Office:** **Phil-Japan Friendship Highway,** **Catitipan, Barangay Sasa** **Davao City** **Mine Site:** **Upper Co-o, Consuelo, Bunawan,** **Agusan del Sur** **Tel/Fax No. (085) 839-3442**
Contact Person	**ENGR. FERDINAND A. CORTES** **Resident Manager** **ATTY. RAUL C. VILLANUEVA** **President**

PROJECT DESCRIPTION

Table 2. *Basic Information*

Project Name	:	**Co-O Gold Project**
Nature of Project	:	Resource Extractive Industry: Major Mining Project
Proposed Extraction Rate	:	2,500 MTPD
Proposed Mill Feed Capacity	:	2,500 MTPD
Commodity	:	Gold
Location	:	Upper Co-O, Consuelo, Bunawan, Agusan del Sur
Permit	:	MPSA 262-2008-XIII MPSA 299-2009-XIII
Total Area of MPSAs	:	423.1562 has. covered by MPSA 262-2008-XIII 169 has. covered by MPSA 299-2009-XIII
Area Covered by the Project	:	592.1562 hectares
Mining Method	:	Underground Mining

Project Details

The Co-O Gold Project (hereafter referred as the "Project") is located in Upper Co-O, Consuelo, Bunawan, Agusan del Sur.

The project is covered by the following permits:

1. Mineral Production Sharing Agreement
   MPSA No. 262-2008-XIII
   Signed on March 11, 2008
   Valid until March 10, 2033
   MPSA No. 299-2009-XIII
   Signed on November 24, 2009
   Valid Until November 23, 2034

2. Amended Environment Compliance Certificate
   ECC Ref. No. 0904-009-1010
   Issued on July 9, 2009
   Amendment Issued on October 9, 20012

Legal Description and Tenement History

MPSA No. 262-2008-XIII

MPSA No. 262-2008-XIII was consisted of Forty Eight (48) P.D. 463 Mining Claims with an aggregate area of 3,888.00 has. Eighteen (18) of these claims were initially stake by Central Mindanao Mining Corporation, Incorporated (CMMCI) in which in 1986 put up a 100 TPD Cyanidation Plant at Bayugan 3, Rosario, Agusan del Sur.

On February 14, 1987, CMMCI entered into an "Agreement" with Banahaw Mining and Development Corporation (BMDC) covering its Eighteen (18) Mining Claims.

BMDC is an exploration and mining company in the Philippine operating entity of Musswelbrook Energy and Mines which listed in the Australian Stock Exchange in 1986. An Additional of Nineteen (19) Mining Claims were later staked by BMDC which also pursued and succeeded in consolidating most of the adjoining claims through operating agreements with various claim owners and tenement holders.

On December 18, 1996, a Deed of Assignment was executed by and between BMDC and Base Metal Mineral Resources Corporation (BMMRC) covering the Thirty Seven (37) Mining Claims, inclusive of the "Agreements" executed by and between CMMCI and BMDC on February 14, 1987.

On July 28, 1997, BMMRC filed the Mineral Production Sharing Agreement (MPSA) applications denominated as APSA No. 000010-XIII APSA No. 000011-XIII, APSA No. 000012-XIII, APSA No. 00013-XIII with the Mines and Geosciences Bureau (MGB) Regional Office (RO) No. XIII. Two (2) of these APSA applications was later on consolidated into one (1) application (APSA Nos. 000010-XIII and 000011-XIII denominated as APSA No. 000084-XIII.

BMMRC officially notified MGB RO N. XIII of its change in corporate name into Flminira Resources Corporation (FRC) on May 4, 2000.

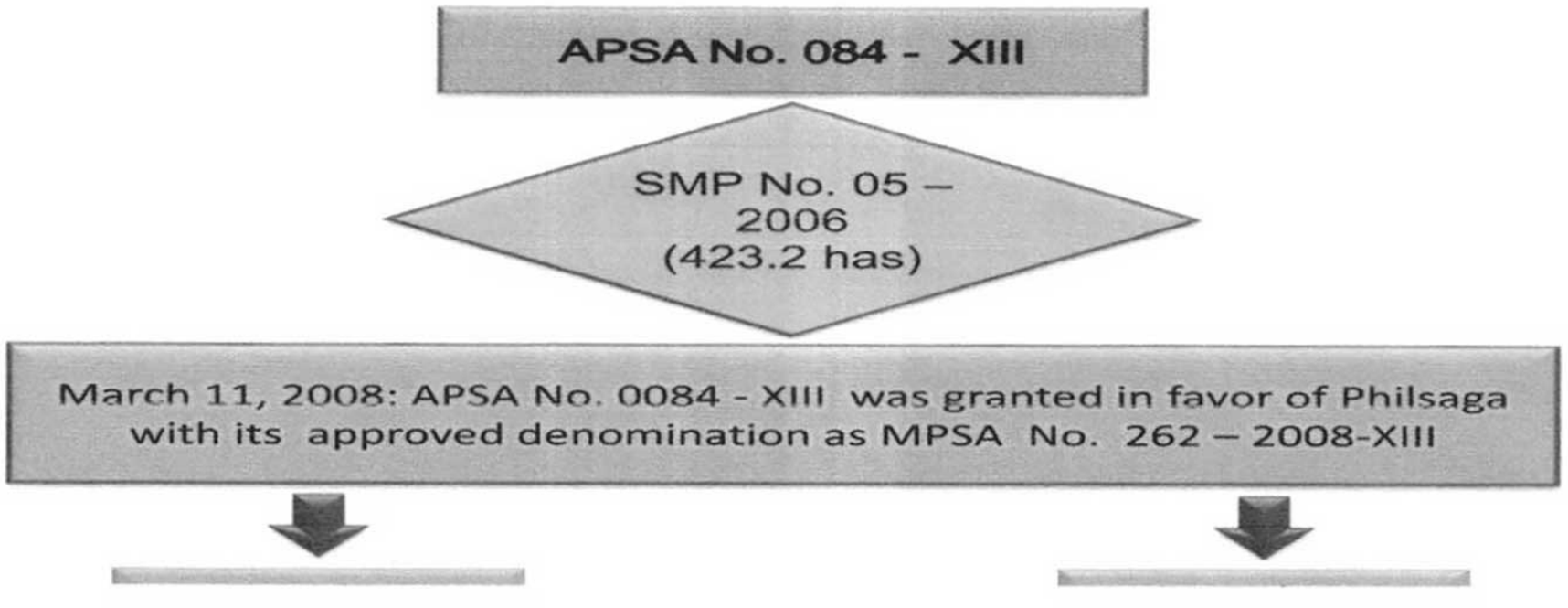
On February 28, 2003, a Transfer Deed was executed by and between FRC and Philsaga Mining Corporation (Philsaga) whereby the latter agreed to pursue the perfection of the aforesaid MPSA application.

Philsaga amended the original applied are filed by BMMRC with the MGB RO XIII, by excision of some areas which in conflict with other mining applications and areas identified to be close in mining applications.

On November 24, 2009, APSA no. 00013-XIII was approved by the Philippine Government through the Department of Environment and Natural Resources in favor of Philsaga which was denominated as MPSA No. 299-2009-XIII.

Figure 01

Mining Permit History



At present, the company has four (4) approved Mineral Production Sharing Agreements (MPSAs) and three (3) exploration permits (EP) as shown in Tables 3 and 4.

Approved Mining Tenement

Table 3. ***Mineral Production Sharing Agreement (MPSA)***

Tenement No.	Area (has.)	Date Approved	Status/Remarks
MPSA NO. 262-2008-XIII	2,538.7919	March 11, 2008	Parcel-I Production Stage; Parcel-II Exploration Stage
MPSA NO. 299-2009-XIII	2,200.3595	November 24, 2009	Exploration Stage
MPSA NO. 343-2010-XIII	3,809.5500	June 09, 2010	Exploration Stage, with operating agreement to Das-agan Mining Corporation

MPSA NO. 344-2010-XIII	6,207.6210	June 09, 2010	Exploration stage, with operating Agreement to Philex Gold Phils. Inc
TOTAL	**14,756.3224**		

Table 4. ***Exploration Permit***

Tenement No.	Area (has.)	Date Approved	Status/Remarks
EP NO. XIII-017	3,132.3100	March 10, 2009	**Exploration Stage**
EP NO. XIII-031	3,978.5401	May 05, 2011	**Exploration Stage**
EP NO. XIII-O32	3,047.5336	May 05, 2011	**Exploration Stage**
TOTAL	**10,158.3937**		

Philsaga Mining Corporation (PMC) is presently working on 10 Mineral Production Sharing Agreements (MPSAs) and about 9 Exploration Permit (EPs) applications (see tables 5 and 6)

Table 5. ***PMC Mining Tenement Applications***

Tenement No.	Area (has.)	Applicants
APSA NO. 00012-XIII	339.8000	Philsaga Mining Corporation
APSA NO. 00028-XIII	2,084.0900	Apmedoro Mining Corporation
APSA NO. 00054-XIII	2,118.1600	Corplex Res. Inc. with Agreements to Phsamed Mining Corp.
APSA NO. 00056-XIII	242.8610	Corplex Res. Inc. with Agreement to Philsaga
APSA NO. 00077-XIII	810.0000	Corplex Res. Inc. with Agreement to Philsaga
APSA NO. 00087-XIII	846.4371	Philsaga with Deed of Assignment from Col Samuel G Afdal (Ret)
APSA NO. 00088-XIII	7,303.7327	Philsaga with Deed of Assignment from Phsamed Mining Corp.

APSA NO. 00098-XIII	1,184.3821	Philsaga with Deed of Assignment from Mindanao Philchord Mining Corp.
APSA NO. 00099-XIII	676.8300	Philsaga with Deed of Assignment from Mindanao Philchord Mining Corp.
TOTAL	**16,011.2929**	

Table 6. ***PMC Exploration Permit Applications***

Tenement No.	Area (has.)	Applicants
EXPA NO. 00066-XIII	6,769.1267	**Philsaga Mining Corporation**
EXPA NO. 00067-XIII	1,692.6910	**Philsaga with Deed of Assignment from. Col Samuel G Afdal (Ret.)**
EXPA NO. 00069-XIII	7,789.7976	**Philsaga with Deed of Assignment from Philsaga Mining Corp.**
EXPA NO. 00087-XIII	764.2000	**Philsaga Mining Corporation**
EXPA NO. 00114-XIII	190.3815	**Philsaga & Neptali P. Salcedo**
EXPA NO. 00176-XIII	3,823.0000	**Sur Mining Corp. with Operating Agreement to Philsaga**
EXPA NO. 00180-XIII	5,498.0000	**Sursur Mining Corp. with Operating Agreement to Philsaga**
EXPA NO. 00181-XIII	6,118.0000	**Sursur Mining Corp. with Operating Agreement to Philsaga**
EXPA NO. 00186-XIII	7,111.3463	**Corplex Res. Inc. with Operating Agreement to Philsaga**
TOTAL	**40,206.5431**	

Project Location

The Co-O Gold Project of PMC is covered by Mineral Production Sharing Agreement (MPSA) No. 262-2008-XIII Parcel 1 and 299-2009-XIII located in Upper Co-O, Consuelo, Bunawan, Agusan del Sur (See Figure 7 for the location map of the project). The project area is bounded by the following geographic coordinates:

Table 7. *Geographical Coordinates of the MPSA Areas*

Parcel I – MPSA No. 262-2008-XIII

Corner	Latitude	Longitude
1	8°14'30"	**126°02'00"**
2	8°15'00"	**126°02'00"**
3	8°15'00"	**126°01'30"**
4	8°16'30"	**126°01'30"**
5	8°16'30"	**126°02'00"**
6	8°15'30"	**126°02'00"**
7	8°15'30"	**126°02'30"**
8	8°14'30"	**126°02'30"**
Total Area	**423.1562 hectares**	

MPSA No. 299-2009-XIII

Corner	Latitude	Longitude
1	8°14'30"	**126°02'00"**
2	8°15'30"	**126°02'00"**
3	8°15'30"	**126°01'30"**
4	8°14'30"	**126°01'30"**
Total Area	**423.1562 hectares**	

Figure 2. *Project Location Map*



Estimated Capital Costs

Types of Mineral

The mineral produce is gold. Gold has been known and highly valued from earliest times because of its beauty and resistance to corrosion. It is also easier to work than all other metals, being the most ductile and malleable. In addition, gold is easier to obtain in pure form than the other metals. Because of these characteristics and its relatively rarity, gold has been used as currency and as basis for international monetary transactions. The unit used in weighing gold is troy ounce; 1 troy ounce is equivalent to 31.1 grams.

Despite its wide global distribution, gold is rare metal, being 75th in order of abundance among the elements in earth's crust. It is almost associated with varying amounts of silver. The naturally occurring gold-silver alloy is called electrum. Gold also occurs in telluride (tellurium-bearing) minerals such as calaveritesylvanite along with the silver, and in the mineral nagyagite along with the lead, antimony, and sulfur. It occurs with mercury as gold amalgam. It may be occasionally present in the sulphide minerals pyrite, galena and sphalerite. Seawater also contains gold of up to 9 billion metric tons, but its recovery is yet economically feasible.

The major portion of the gold produced is used in coinage and jewelry, in which it is alloyed with other metals to give it the necessary hardness. Green gold used in jewelry contains copper and silver; white gold contains zinc and nickel, or platinum metals. Gold is also used in the form of gold leaf in the arts of gilding and lettering. Purple of Cassius, a precipitate of finely divided gold and stannic hydroxide formed by the interaction of auric chloride and stannous chloride, is used in coloring ruby glass. Chlorauric acid is used in photography for toning silver image. Potassium gold cyanide is used in electrogilding. Gold is also used in density. Radiosotopes of gold are used in biological research and in the treatment of cancer.

Present status of the Project

The project is currently on its operation phase having an annual extraction rate of 273,750 MT per year. PMC has been conducting continuous exploration to cater its proposed expansion from the aforementioned extraction rate to 912, 500 MT per year.

To date, the company will apply for an amendment of the EPEP and FMR/DP for the proposed increase in production capacity.

Description of Mining Method

The following mining methods are considered applicable to the Co-O mine:

1. Overhand Cut-and-Fill with breasting excavation
2. Overhand Cut-and-Fill with uppers excavation
3. Underhand Cut-and-Fill

Variations of these methods will be applied as the need arises. Conventional stopping will be conducted which consists of mocking to chute, thence hauled from the bottom of the chute raise with LHD units to load trucks.

The following major factors have been essential to the design of the underground mine:

1. Level Interval- This is a parameter of foremost importance. The higher the interval, the lower would the resulting development cost. Care has been given, however, in the selection of the level interval as the geometry, the mining methods and the development approach are input parameters that must be considered.

2. Ore reserves – a sizable portion of the resources is under the demonstrated category and is schedules for mining during the early years. The initial development approach is tied up to these reserves and the flexibility to access other areas that may be defined by drilling.

3. Grade of Ore – The Co-O veins are high grade with peak values extending up to 20 gpt. A high-recovery mining method

4. Geotechnical – Rock mass rating is low such that the cut-and-fill methods are preferred over the other methods.

5. Regional Stability – The need to maintain regional stability is a minus factor for over stopping and the caving method. The mining area is cut across by several faults.

6. Geometry – The veins exhibit pinch-swell behavior along strike and dip. The strike changes abruptly, splaying into walls and disappearing.

7. Cost effectiveness – Much effort has been exerted toward technically correct schemes. However, a technically correct scheme may not be the best in terms of cost-effectiveness.

Mine Ventilation

Mine ventilations are established in the mining area, further modification will be utilized for the proposed increase in production capacity. As of now, the ventilation facilities are established until level 8.

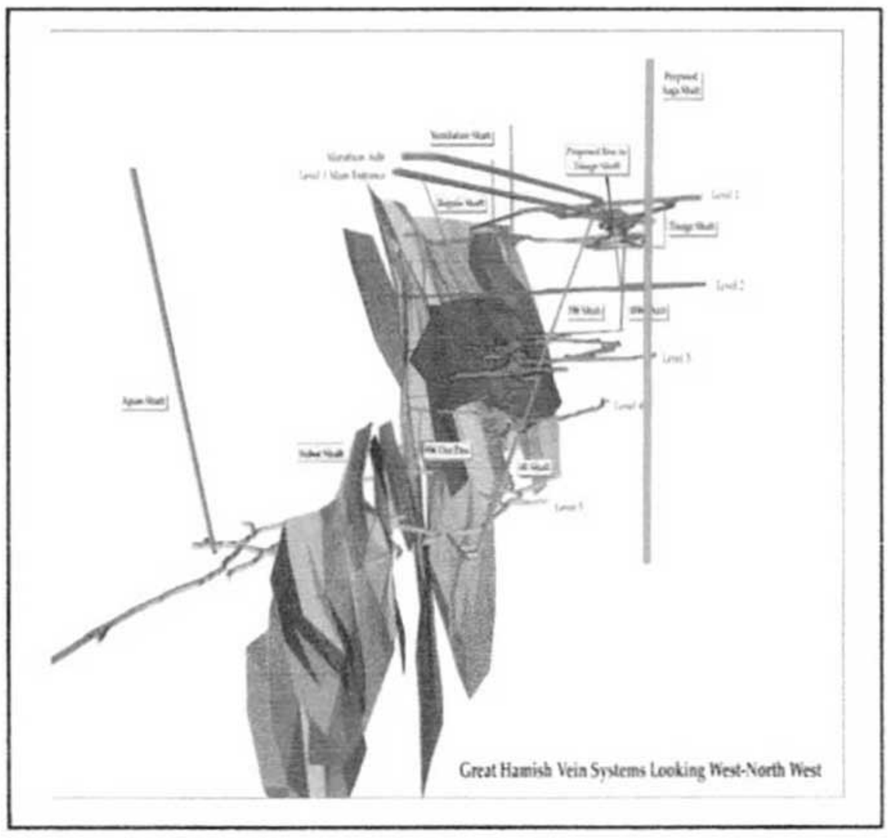
With the total 23 vein system, PMC mines the following veins:

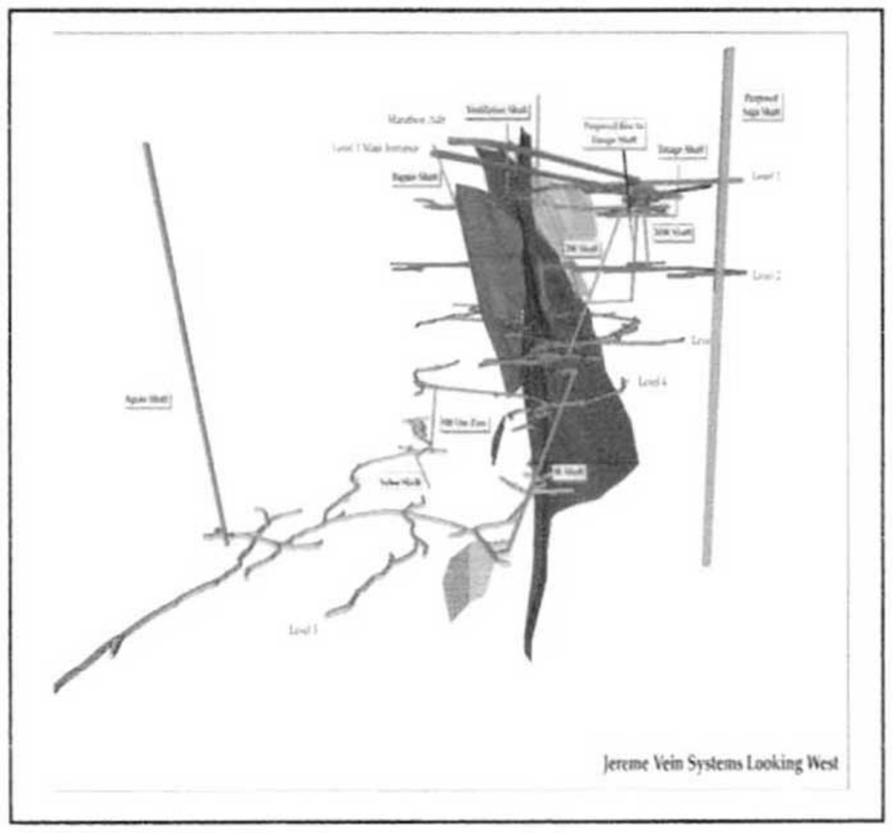
Table 8. *PMC Veins*

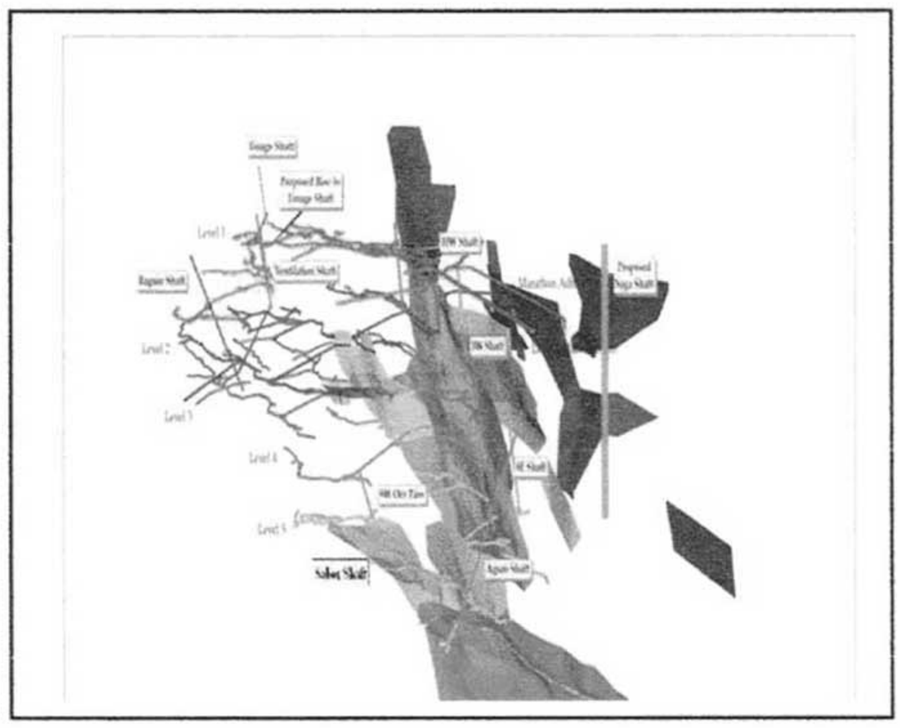
Vein	Levels
GHV	Level 2 to Level 6
Jereme	Level 1 to level 5
Roysan	Level 5 to Level 6
Catto	Level 6
Central	Level 5
Gadfrey	*Level 2 to Level 3*
Royal	**Level 2**

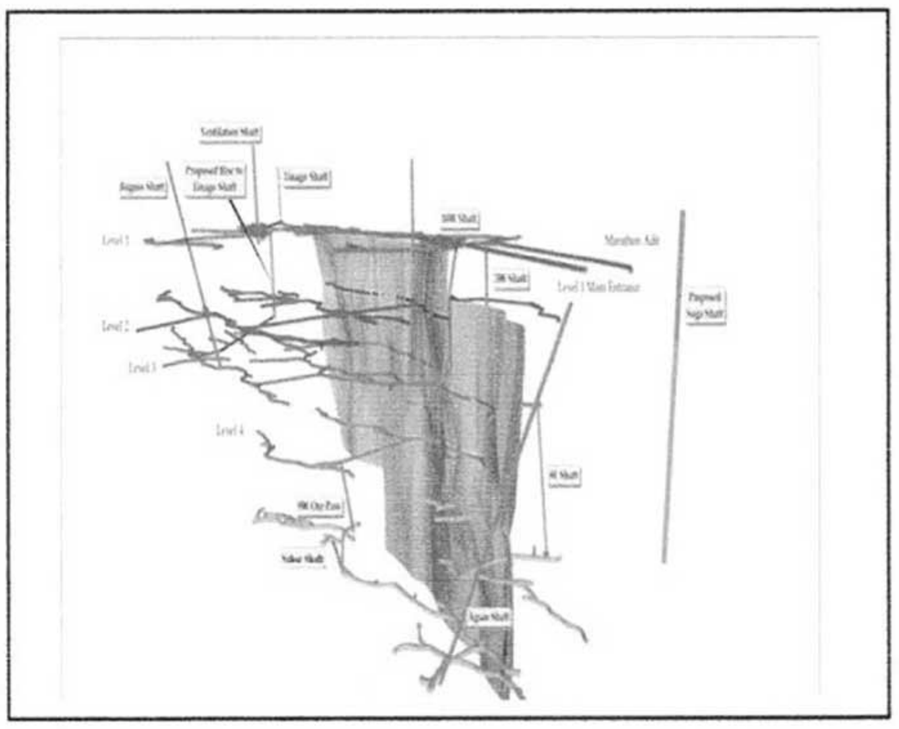
Figure 03

PMC Vein Systems









Estimated Production

The allowable extraction rate as per the amended ECC is 912, 500 MT per year.

Mineral Reserves/Resources

As estimated, the available resource for the project as of June 30, 2013 is as follows:

Table 9. *Mineral Reserves Estimation for the Project*

Deposit	Category	Tons	Grade g/t gold	Ounces gold
RESOURCES	Indicated	2,100,000	12.1	**820,000**
Co-o Resources	Inferred	4,780,000	9.0	**1,375,000**
Total Co-o Resources	Indicated & Inferred	6,880,000	9.9	**2,195,000**
Bananghilig Resources	Indicated	16,060,000	1.48	**766,000**
	Inferred	8,460,000	1.36	**370,000**
Total Bananghilig Resources	Indicated & Inferred	24,520,000	1.44	**1,136,000**
Saugon Resources	Indicated	47,500	6.99	**10,700**

	Inferred	34,000	4.55	**5,000**
Total Saugon Resources	Indicated & Inferred	81,500	5.97	**15,700**
TOTAL RESOURCES	Indicated & Inferred	31,481,500	3.31	**3,346,700**
Total Indicated Resources		18,207,500	2.73	**1,596,700**
Total Inferred Resources		13,274,000	4.10	**1,750,000**
RESERVES				
Co-o Reserves	**Probable**	**1,650,000**	**10.7**	**570,000**

Grade Control

Declaration of Mine Head Grade

The monthly and daily estimated production mine head grade of all underground heading will be based on the weighted average cut sample assay grade. Meanwhile, the daily and monthly actual production mine grade head of all underground heading are based on the weighted composite bucket sample assay grade of all active stopes, the horizontal and vertical development headings.

Computation of Percent Dilution of each Stope

The percent dilution of each active stope will be estimated based on the tonnage computed from the volume survey of the actual mined-out portion of the stope which will be compared to the estimated tonnage based on the sampling width and the NIR (not inside the reserve) tonnage. Performances of each particular stope will be tabulated in a monthly basis. A stope static form is used to indicate not only the actual and estimated tonnage as well as the bucket and cut sample but also the

remaining balance of ore reserve tonnage and grade available in the stope as originally computed, if there will be no changes.

A monthly sketch or outline of the mined-out portion of the stope and the ore limits in the stopes will be attached to the stopes in statistical form in order to support the computation and better understand the dilution in the stope. Moreover, the causes of overbreak are indicated in the accompanying sketches.

Bucket Samples

Bucket sampling of all muck drawn from the underground will be conducted. The bucket sample serves as countercheck on the cut sample grade and will indicate the dilution in the stopes.

Samples shall be taken from the four (4) corners and the middle portion of a loaded LHDs bucket with use of a shovel or spade (5 samples per LHDs buckets). The composite sample of 5 LHDs buckets (equivalent to 25 samples at 5 samples per LHDs bucket) will undergo coning and quartering to achieve a representative increment sample from the five (5) LHDs buckets.

The daily head grade of each stope is equivalent to the weighted average grade of all LHD samples taken from the total ore drawn for the day from a particular stope which must be plotted on a monitoring sheet aptly called tons and head grade sheet. This daily monitoring sheet must be shown by the ore grade control personnel to the operation people so that they will know what are being mined in each stope.

Delineation of Ore and Mining Limits in the Stope

To control the dilution in the stope, delineation of the ore and mining limits is being carefully made and the procedures are enumerated and briefly described as follows:

Delineation of ore outline in the stope will be based on the individual cut sample assay results and geological mapping of the sub-level or mining sector.

1. Once the assay results are obtained, these are plotted in the stope jacket combined with geological maping.
2. After plotting the entire assay result s and the geology of the stope mining floor, the geologist/grade controlling engineer will plot the ore limits on the stope jackets assay record and geological plan. After this, the stope jacket will be shown to the operation people.
3. The mine operation people will the put the mining limits over the ore outline in the stope assay jacket and geological plan
4. Once the ore and mining limits have been fully plotted on the stope jacket, it is being marked underground either with smoke mark using carbide lamps or just with red paint by the geologist /grade control engineer/sampling boss. Waste shall also be marked oth in the underground and the stope jacket.
5. In the case that ore extensions outside the delineated ore and mining limits are encountered, breaking will be allowed only after an authorized stope extension (ASE) have been approved by the Mine superintendent/Sr. Mine Geologist. The ore extension will be plotted on the stope jacket and painted in the underground by the geologist/ sampling boss/mapper /grade control for the guidance of the foreman miners.

Estimated Mine Life (years)

Based on the current resource, the estimated life of mine is nine (9) years. However, ongoing exploration activities will further increase the minelife of the project.

Potential Additional Reserves

Estimates (table 10) have been undertaken for the co-O Mine conceptual target size based on a drill-defined strike length of approximately 2,000 meters and up to 2,500 meters based on potential extensions.

The range for the Conceptual Exploration Target remains well supported at 3,000,000 ounces in 9,800,000 tons to 7,000,000 ounces in 23,500,000 tons using a grade range of 9 to 11 g/t gold with a preferred average grade of 10 g/t gold as shown in the table below.

Table 10. *Estimates*

Cut-off (g/t gold)	*tons*	*g/t gold*	*Ounces*
0.50	44,200,000	1.10	**1,500,000**
0.60	33,400,000	1.28	**1,300,000**
0.70	26,100,000	1.46	**1,200,000**
0.80	21,000,000	1.63	**1,100,000**
0.90	17,300,000	1.80	**1,000,000**
1.00	**14,800,000**	**1.94**	**900,000**

The additional support for this target is listed below:

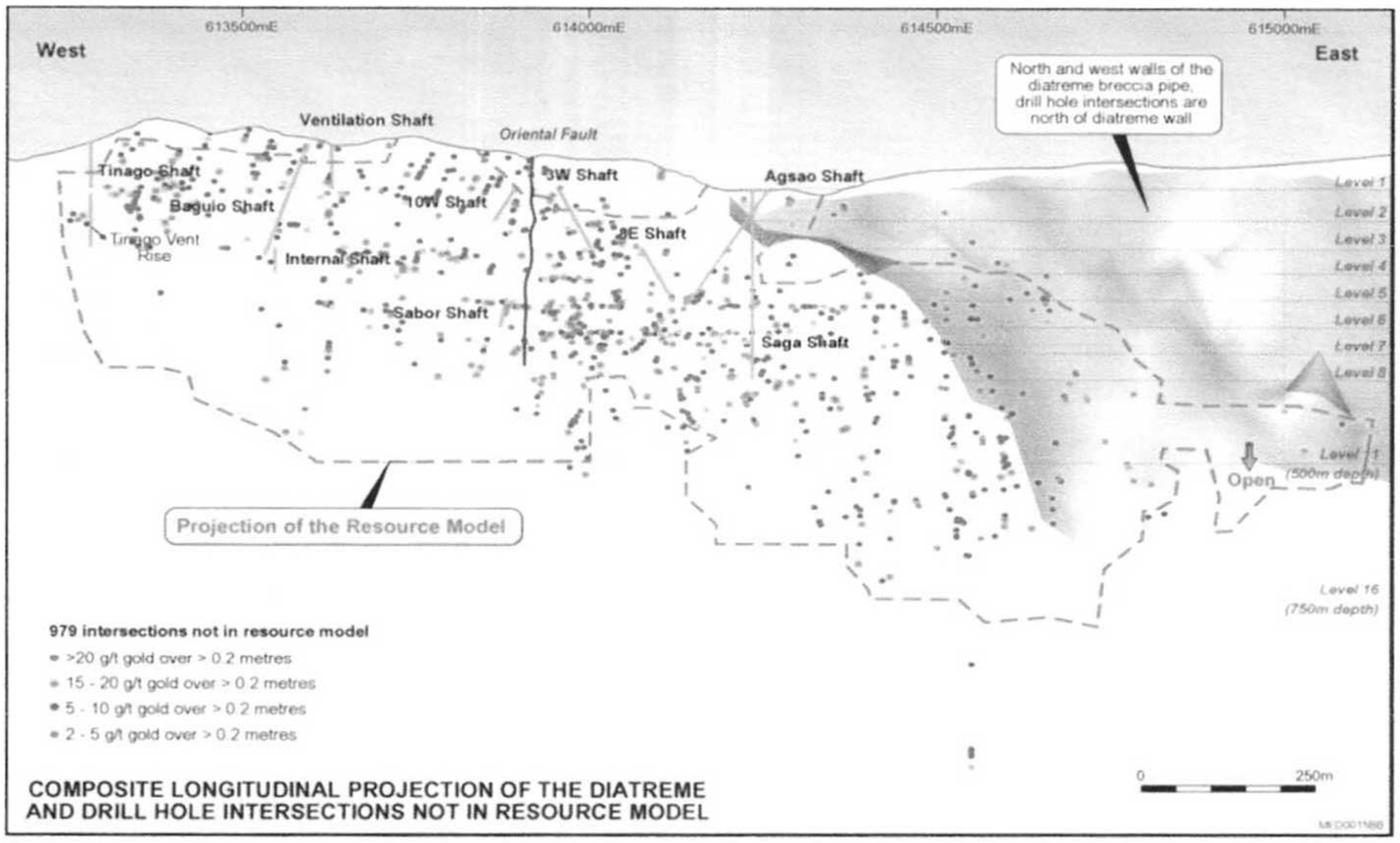
- The total ounces already counted by the current global resource and past production is approximately 2,529,000 ounces.
- An increase of strike length from 1,600 meters to 2,000 meters as supported by drilling as described in the announcement dated 14 August 2012.
- As shown in the composite longitudinal projection in Figure 2, all new drill holes since June 30 2011 in the deposit with assays of ≥0.2 meters at ≥2 g/t gold up to June 30 2012 have been added and support the mineralization continuing to depth. The assay support levels at depth is increasing as drilling

progresses with the deepest intersection to date recorded at 1,073 meters below surfaced of 1.0 meter at 10.39g/t gold.

Figure 4 shows a longitudinal projection of the resource model and the 979 intersections within the projection which have not yet been included in the 2012 model. This will add significant resources as more data and interpretations improve the continuity of the intersections.

Figure 5

Composite Longitudinal Projection



2.0 BACKGROUND INFORMATION

2.1 Background

The 2017 Annual Social Development and Management Program (ASDMP) is the first (1st) year of the third (3rd) phase of the 5 year SDMP (2017-2021) of PMC. This serves as a proof of the company's genuine commitment to continue its implementation of programs, projects and activities which will promote the welfare and uplift the living standard of the host and neighboring communities through SUSTAINABLE DEVELOPMENT projects. Its noble intention to build a socio-civic and an empowered host and neighboring communities is in furtherance of PMC's core value and vision.

Anchored on this social engagement is the sincere abiding commitment to the creed of "steadfast service" and best mining practice in partnership with the stakeholders of its mining communities. In addition, ensuring a sensitive and responsive project to the needs of the communities is highly emphasized by the company. Consequently, giving emphasis to health, education, livelihood, public utilities, socio-cultural and community awareness has been known to enable the people to be more productive and cooperative enough in every undertaking instigated.

The 2017 ASDMP of Philsaga Mining Corporation is made possible through the binding efforts of a multi-sectoral group, RHNC, as they cater the needs of the people in helping uplift one's economic living standard. It aids to equip and enlighten the people to strive for wider and broader opportunities economically, socially as well as environmentally.

Hence, the ASDMP has been formulated to assist the host and neighboring communities for a better and brighter horizon. The programs, projects and activities embodied in it are the primary components of a sustainable and justifiable development approach to alleviate socio-economic conditions of the impact

communities. It is, indeed, by virtue of PMC's public and community service endeavor that would give life to the idea of "Sustainable Development".

Scope

In conjunction with the new Rules and Regulations on the Implementation of the Social Development and Management Program for the development of the host and neighboring communities as stipulated in DA0 2010-21, Philsaga Mining Corporation prepared this 2017 ASDMP as part and based on the 3rd phase of the 5-year Social Development and Management Program (CY 2017-2021) for the development of its host community - Barangay Consuelo and the neighboring communities; barangay's Mambalili, San Andres and San Marcos while the six non mining communities in the municipality of Bunawan, Agusan del Sur are also covered of this 2017 ASDMP.

The 2017 ASDMP generally covers programs, projects and activities for the Promotion of Public Awareness and Education on Mining Technology and Geosciences (PPAEMTG), Program for the Development of Mining Technology & Geosciences (DMTG) and for the Development of Host and Neighboring Communities (DHNC).

Rationale

Philsaga Mining Corporation continues to pursue its endeavours of assisting the development of the host and neighbouring communities in accordance with its Social Development and Management Program (SDMP) to promote the general welfare of the inhabitants living therein.

Furthermore, the 2017 Annual Social Development and Management Program (ASDMP) were not prepared as a mere compliance to a statutory obligation but as a modest contribution and commitment to a broader vision of socio-economic and sustainable community development.

2.2 Methodology

Since this 2017 ASDMP is part and parcel of the 5 year SDMP, methodologies and processes undertaken were based and anchored on the said 5 year plan as well as review and validation process for 2017 ASDMP.

The methodology adopted in the formulation of this Annual Social Development and Management Program (ASDMP) includes a participatory planning process. The formulation of the 2017 ASDMP adopted various participatory tools from the 5 year SDMP. The ASDMP was re-visited giving emphasis on the review and enhancement for the programs/projects/activities. Those assessment and review processes were undertaken through formal and informal focus group discussions and reflections sessions with the different stakeholders particularly the assisted groups, RHNC, other partner agencies such as Department of Health, Department of Education, Local Government Units, Religious Groups, Non-Government Organizations and the Communities themselves.

Data and information are very vital bases in planning. The data and information gathered during the formulation of the ASDMP were reviewed and validated during the preparation stage of this 2017 ASDMP. Sources of secondary data and information regarding the host and neighboring community were gathered and generated from the 5 year-SDMP, Barangay Development Plan, Municipal Profile, Socio-Economic Profile and through actual interviews of the residents.

Primary data and information were generated from the Social Impact Assessment (SIA), from the COMREL office of Philsaga Mining Corporation-in coordination with the RHNC through the conduct of Focus Group Discussion (FGD).

For this 2017 ASDMP, a pre planning was conducted to the covered communities with the various stakeholders/sectoral groups. Each sectoral group identified several issues and concerns. After which, the COMREL Department and the RHNC conducted a pre planning workshop. Identified and proposed PPAs based from the

result of issues and concerns raised by each sectoral group were prioritized. The said prioritized PPAs from the various sectors and reviewed by the RHNC were submitted to MGB 13 for initial review, Then after review from MGB 13, it was again discussed, reviewed by the RHNC.

3.0 PLAN IMPLEMENTATION

In the implementation of the Annual Social Development and Management Program (ASDMP) for 2017, PMC in line with DAO 2010-21 shall undertake the various development interventions or components as its development strategies aiming to respond the identified needs, problems and concerns of the host and neighboring communities in coordination and partnership with the LGUs, MGB and other stakeholders.

To effectively implement this 2017 ASDMP, Philsaga Mining Corporation is committed to pursue its social development responsibilities by mobilizing the following key players as illustrated in the organizational structure, Figure 6 below.

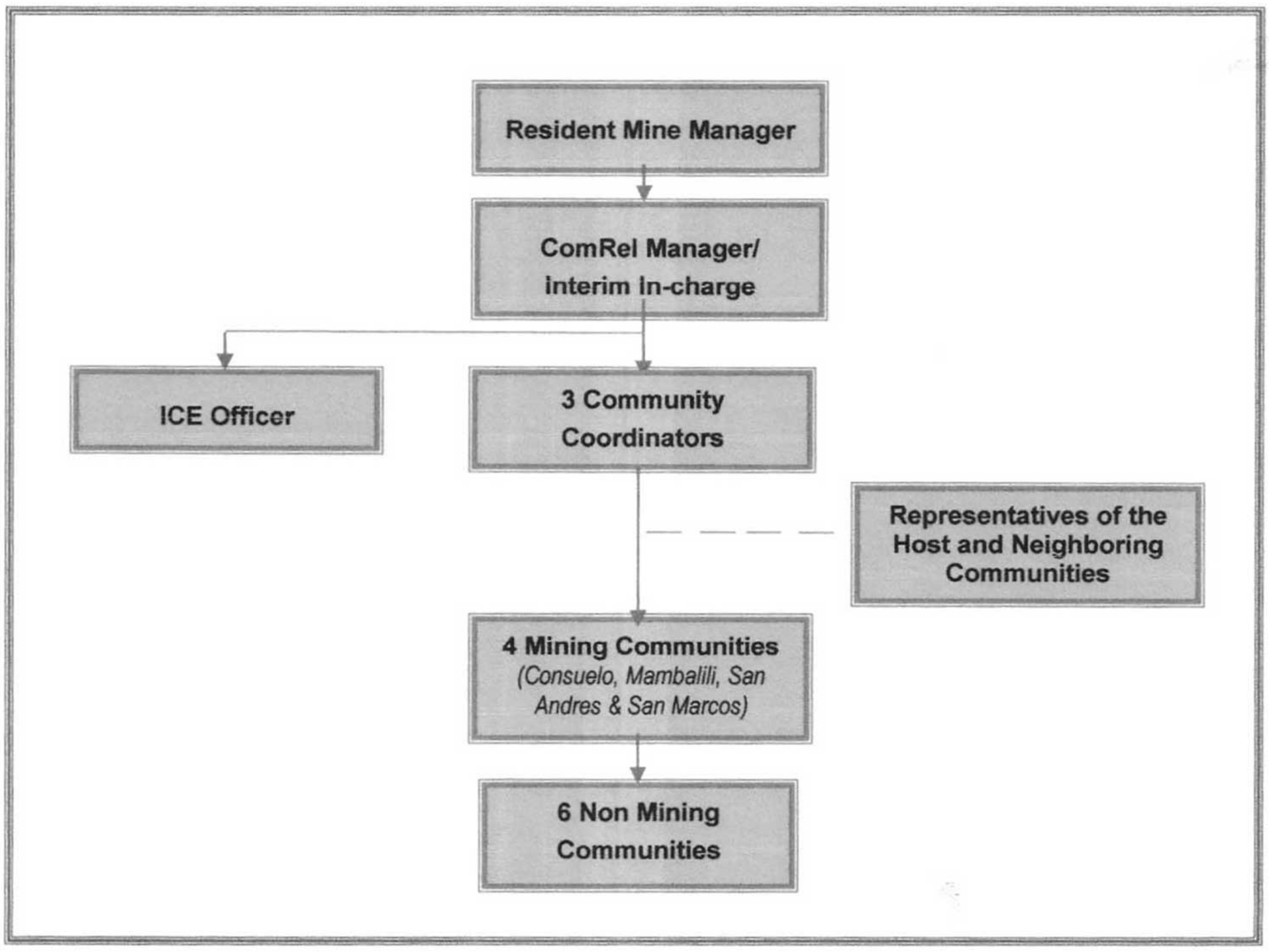


Figure 6.*SDMP Organizational Structure*

Resident Mine Manager (RMM)

The **Resident Mine Manager** shall be the over-all in charge in the implementation of the approved SDMP and shall represent the company to the MRFC. The RMM will ensure continuity in terms of operational plans and proper management of systems and activities including strict implementation on the approved timetable and budget.

ComRel Manager/Interim In-charge

The **ComRel Manager/Interim In-charge** shall represent the company to the community and ensure that the Social Development and Management Program planning, implementation, monitoring and evaluation will be done in a participatory manner.

The following are the specific functions:

- Reports directly to the Resident Mine Manager and provides updates as well as issues and concerns relative to SDMP implementation;
- Supervise the ICE officer and Community Coordinators;
- Establish and Maintain harmonious relationship with the community residents, RHNC, LGU, GLA, NGOs, POs, Coops and other stakeholders;
- Handles all community development related affairs;
- Coordinates with the different departments of PMC on compliance of the company that pertains to social concerns as stipulated on the ECC/MPSA;
- Submit and present accomplishment/ progress reports of the SDMP to the Resident Manager, MGB 13, MRFC and RHNC;
- Perform such other functions as instructed by the management

Information Communication and Education Officer (ICE Officer)

The **ICE Officer** shall coordinate with the ComRel Manager/Interim In-charge and be the responsible on all information, communication and education activities related to the SDMP. Also, he/she will coordinate with MGB 13 through Information, Communication and Education-Community Development (ICE-CD) section on other communication related matters and shall also perform such other functions as instructed by the management

Community Coordinators

The **Community Coordinators (CCs)** shall assist the ComRel Manager/Interim In-charge in the implementation of the SDMP. They will be assigned to immerse to their respective communities. Basically, the CCs will undertake and facilitate intensive social preparations and community development works in line with the steps and processes in community organizing and development relative to the SDMP implementation. They will also perform such other functions as instructed by the management.

Representatives of the Host and Neighboring Communities (RHNC)

The **RHNC** shall serve as the planning, implementation and monitoring arm of the Social Development and Management Program. It shall be a multi-sectoral group represented by key stakeholders in the communities and partner agencies.

Host and Neighboring Communities and Non Mining Communities

The **host community** is **Barangay Consuelo** and the **neighboring communities** are **Barangay Mambalili, Barangay San Andres and Barangay San Marcos.** They are the main beneficiaries/partners of the 2017 Annual Social Development Program (ASDMP).

The non-mining communities are the other six (6) barangays within the municipality. They are Barangay Bunawan Brook, Barangay Imelda, Barangay Libertad, Barangay Nueva Era, Barangay Poblacion and Barangay San Tedoro.

These communities have an agreed SDMP budget allocation sharing for the 3rd phase 5 year – SDMP. 45% for the host community, 30% for the neighboring communities (10% each of the 3 neighboring communities) and the remaining 25% will be distributed to the 6 non mining communities.

3.1 Development Programs

Generally, PMC will implement programs on Information Education & Communication, Program for the Development of Mining Technology & Geosciences and for the Development of the Host and Neighboring Communities.

In particular, programs, projects and activities as shown in details in **Tables 1-7** are under the following components:

- Information, Communication and Education Program
- Program for the Development of Mining Technology & Geosciences
- Health
- Education
- Livelihood
- Public Utilities
- Socio-cultural

3.2 Development Timeline

All the planned development interventions / PPAs are scheduled within 2017. The schedule of implementation per PPAs or the Gantt chart is shown in details in **Tables 3-7.**

3.3 Funds Sources

PMC commits to assist the development of its host communities in accordance with the provision to the DAO 2010-21 to promote the general welfare of the inhabitants in the area. In line hereof, the company shall allocate 1.5 % of its Operating Cost (OC) for the development of the host communities. Seventy-five percent (75%) of 1.5% Operating Cost shall be apportioned to implement the PPAs on HELPS under the DHNC in the 2017 ASDMP, with ten percent (10%) for the Program for the Development of Mining Technology & Geosciences and fifteen percent (15%) shall be for IEC program. For CY 2017 ASMP, PMC's projected 1.5% operating cost for 2016 is amounted to **Php 20,920,520.93**. On this amount, 15% equivalent to **Php 3,086,585.22** is allocated for the Promotion of Public Awareness and Education on Mining Technology and Geosciences (PPAEMTG/ICE), 10% or **Php 2,054,956.48** for the Development of Mining Technology & Geosciences and 75% or an amount of **Php 15,778,979.24** for the Development of Host and Neighboring Communities (DHNC). P/P/As and its corresponding budget are presented in details in **Tables 1-7.**

Further, fund sources for the implementation of this 2017 ASDMP is sourced out from PMC's 1.5% Operating Cost of CY 2016. However, complementation is encouraged to attain maximum level of impacts and promote sense of ownership thus; other fund sources will come from the various stakeholders as partner-beneficiaries as their counterpart.

3.4 Programs/ Projects/Activities Implementation

P/P/A implementation is formulated by rights - based approach to development which involves content and process. The content of the P/P/A is directly influenced by socio-economic and cultural rights while the process of formulation and implementation through civil-political rights towards enhancing the development of the host and neighboring communities.

To meet the changing needs and demands of the communities, MGB regional office sets up systems, policies and procedures that will guide the company and the community in all activities to be undertaken. Systems, policies and procedures include Brgy. Development Council (BDC) pre-planning meeting for the P/P/A identification of the host and neighboring communities; 2017 annual planning of P/P/As with the Representatives of the Host and Neighboring Communities (RHNC) was conducted. PMC ComRel Dept. reviewed and submitted the 2017 ASDMP for review by MGB 13. Final documents was also then submitted and approval by the Regional Director of MGB 13. After approval, the company will implement the approved PPA's based on the gantt chart.

Figure 4

Composite Plan of Co-O Level 6

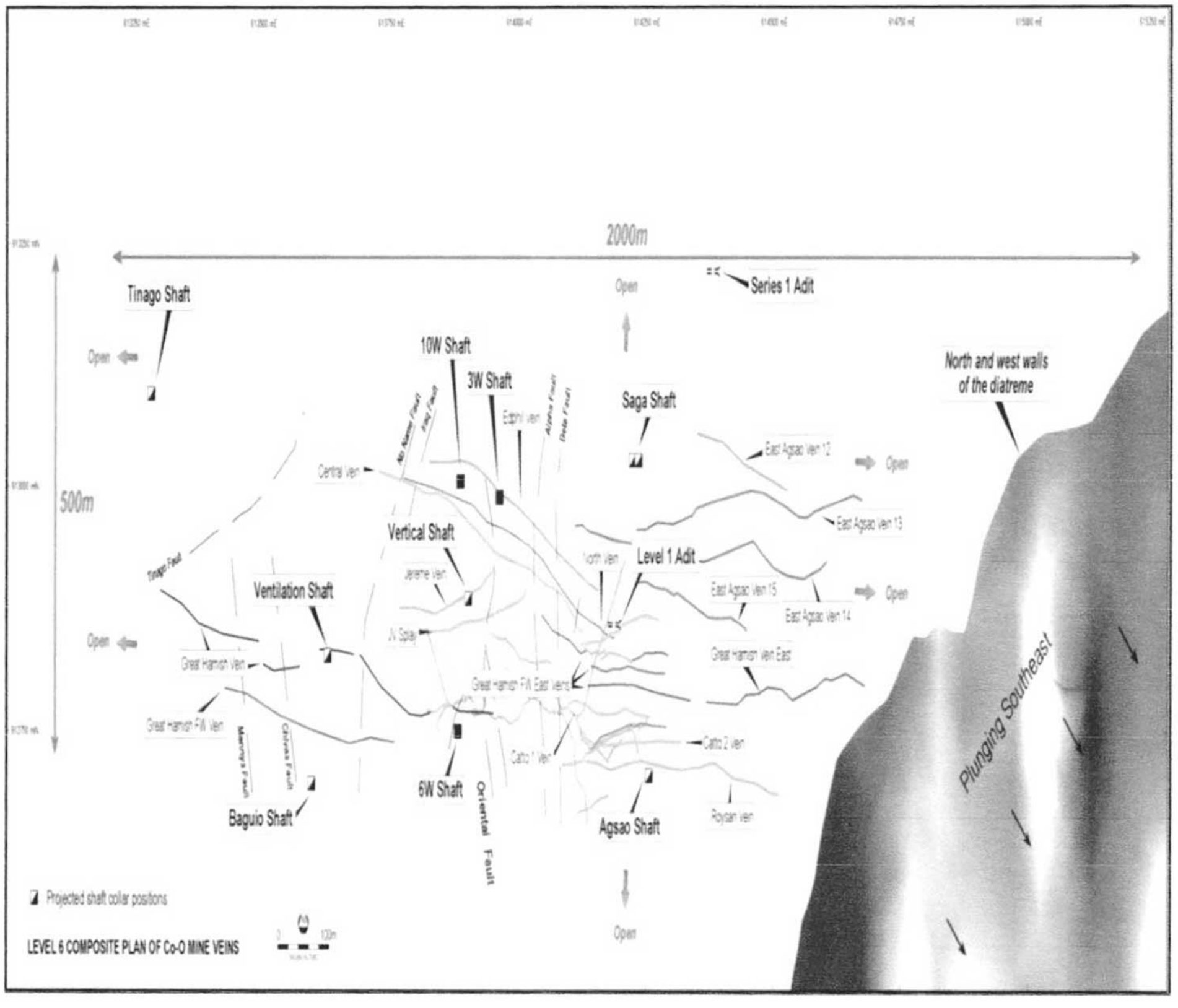
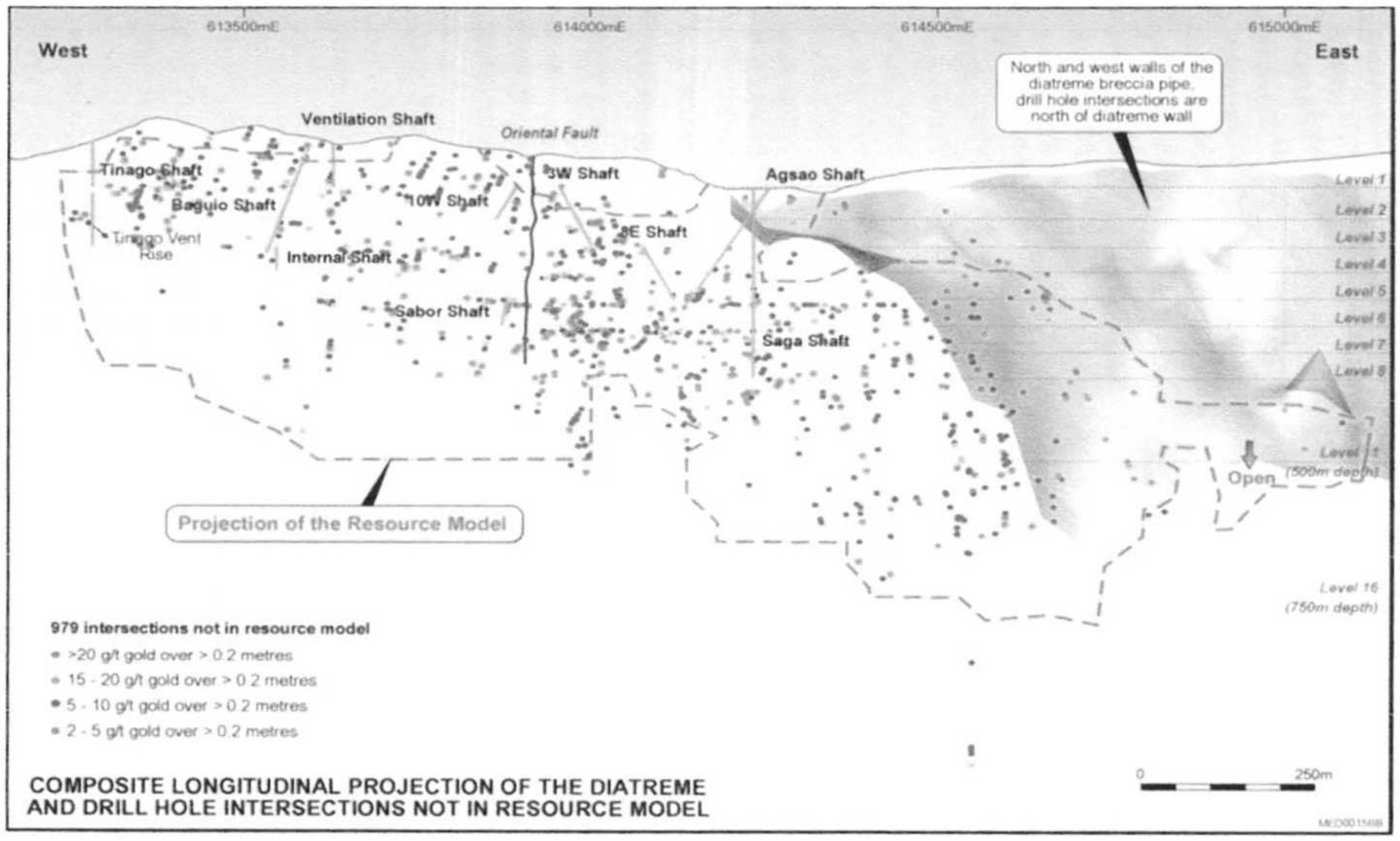


Figure 5

Composite Longitudinal Projection



2.0 BACKGROUND INFORMATION

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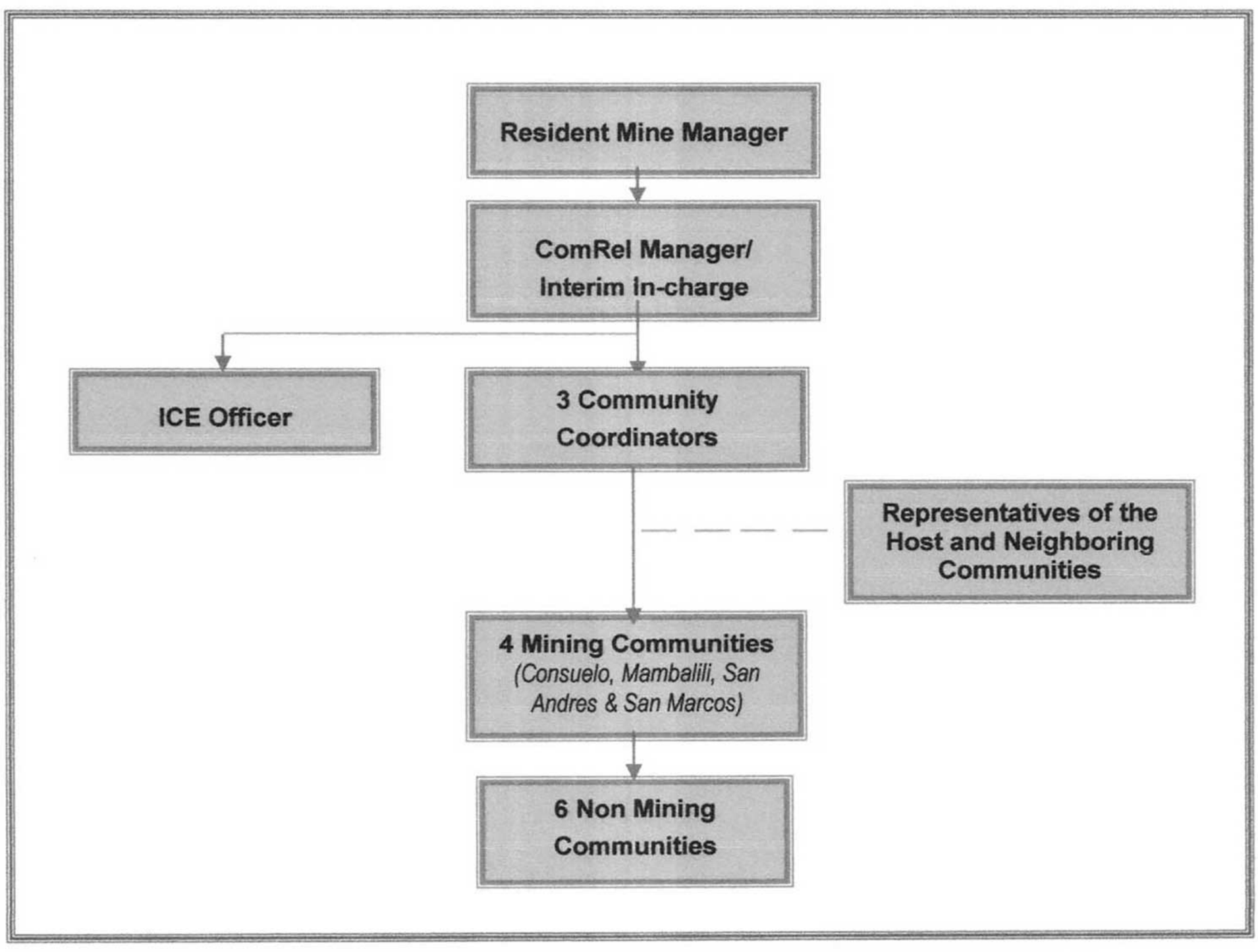


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